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Balance Sheet as on 31st December, 2016

Liabilities	`	`	Assets	`	`
Capital	1,76,000		Plant & Machinery	1,00,000	
Add: Net profit	18,000		Less: Depreciation	20,000	80,000
	1,94,000		Stock-in-trade		28,000
Less: Drawings	44,000	1,50,000	Sundry debtors	50,000	
Sundry creditors		24,000	Less: Provision for bad and doubtful debts (2%)	1,000	49,000
Bank overdraft		20,000	Unexpired insurance		15,000
			Suspense A/c		22,000
		1,94,000			**1,94,000**

Points to remember

- Adjustment entries are the journal entries made at the end of the accounting period to bring into account items which are omitted in trial balance but which relate to the relevant accounting period.
- Adjustment entries are made so that the financial statements represent a true and fair view of profitability and financial position.
- Closing stock is valued at cost price or net realisable value whichever is lower.
- Outstanding expense and income received in advance are current liabilities.
- Prepaid expense and accrued income are current assets.
- Provision is created for bad and doubtful debts and discount on debtors in the current accounting period against debtors of current accounting period.

Self-examination questions

I Multiple choice questions

AKSTL4

Choose the correct answer

1. A prepayment of insurance premium will appear in
   (a) The trading account on the debit side
   (b) The profit and loss account on the credit side
   (c) The balance sheet on the assets side
   (d) The balance sheet on the liabilities side